

3. MARKET AND COMPETITION

- **Customers** Say who you expect your customers to be—the market segment. Identify any niche segments, based on market segmentation research (see pp. 40–41). Describe the customer profile and identify why they are likely to buy your product or use your service.
- **Competition** Compare your business to what is already out there. List competitors, their products, services, prices, and gaps in their offerings. State your unique selling point (USP; see p.23).
- **Trends** Include research to show whether the market is static or growing, and highlight any trends you have spotted.

5. BUSINESS OPERATIONS

- **Premises and structure** Describe the base from which your business will operate and any equipment you will use. Explain why this location is well positioned to serve your market.
- **Day-to-day running** Outline how your business will operate, including how customers will pay for goods or services, and how you will pay staff and comply with legal requirements, such as health and safety, and contingency planning. Include supply and distribution details about how products will get from A to B.

4. MARKETING AND SALES STRATEGY

- **Promotion** Define the methods you intend to use to promote your product or service, such as press and publicity, advertising, or direct and online marketing.
- **Social media** Describe the social media channels you will use to build your profile and what kinds of posts you will share to attract customers.
- **Pricing strategy** Indicate how much each unit costs to make and deliver. Or, for a service, establish what customers might be willing to pay. Discuss the price point, showing how it compares to competitors', and state your anticipated profit margin.
- **Sales methods** Outline how you intend to find, reach, and retain customers. Describe the customer experience and how you will encourage repeat purchases.

6. FINANCIAL FORECASTS

- **Sales/costs** Project your sales and costs (see pp.78–81), month-by-month, over at least one year, preferably three. Allow for seasonal fluctuations.
- **Profit forecast** Provide a gross profit figure (the predicted turnover of the business—all sales—minus the cost of sales) and a net profit figure (what remains after all expenses are deducted from total sales).
- **Cash flow forecast** Define the payment terms for your customers and suppliers, and forecast the cash flow over a 12-month period.

